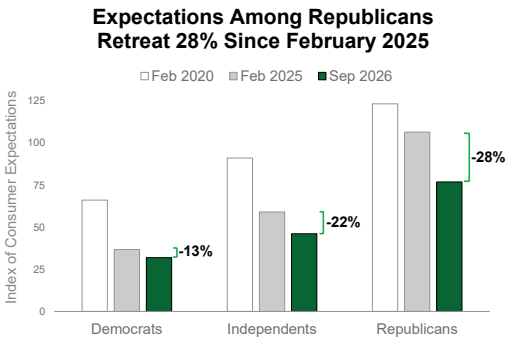
surveys of consumers
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September 2026 survey results

September 25, 2026

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Consumer sentiment ticked down less than four index points in September, reaching the lowest reading in four months and down 15% from January 2026. Views of current and year-ahead expected personal finances both weakened about 10% this month, with concerns over high prices continuing to climb. Buying conditions for durables improved a bit, in part due to a perception that completing such purchases now would help consumers avoid higher prices in the future. The short-run outlook for business conditions plunged amid renewed worries that elevated fuel prices and re-escalating trade disputes could pass through to the economy as a whole. Overall, interviews reveal broad agreement across the political spectrum that the outlook for the economy has weakened since the beginning of the year. After particularly large declines in sentiment this month, Republican sentiment is now 20% lower than January 2026; Democrats are down 13% over the same period.



Year-ahead inflation expectations jumped from 4.0% last month to 4.6% this month, the highest reading since June. The current reading substantially exceeds the 3.4% seen in February before the Iran conflict began, along with all 2024 readings. Long-run inflation expectations ticked up to 3.4%, ending three consecutive months at 3.3%. These expectations remain higher than their 2024 range of 2.8% to 3.2%.

Since the beginning of the year, sentiment has fallen for all groups by age, education, geography, political party, and income. Some of the smallest declines since January were seen among consumers with the largest stock portfolios, who continue to be supported by strong asset values. Groups with larger declines (at least 20%) include non-stockowners, younger consumers, those without college degrees, and Republicans. These groups may face greater challenges with recent increases in inflation. For example, the share of Republicans citing high prices as a drag on their personal finances reached their second highest since February 2025. Nationally, gas price expectations climbed to their highest readings since May (year-ahead expectations) and April (five-year), suggesting that consumers anticipate no quick resolution to oil supply disruptions.

The deterioration in sentiment since January 2026 was accompanied by worsening views across multiple dimensions of the economy, including expected real income growth and inflation expectations. Buying conditions for homes and cars declined, weighed down by higher interest rates. That said, unemployment expectations and buying conditions for durables are mostly unchanged since January following last year's declines amid the tariff developments.

These developments have culminated in a general weakening in the economic outlook since February 2025, seen clearly across the political spectrum (see chart). Under Republican presidents, Republicans tend to have higher expectations than Democrats, with independents in between. This pattern held true this month, in February 2025 just after the inauguration, and five years earlier during the previous Trump administration. Even so, expectations for all political groups have sagged since the start of the current administration. Republicans exhibited the sharpest decline, retreating 28% since February 2025 and now below their historical average. Independents sank 22% and Democrats 13%. The comparison to pre-pandemic readings shows that independents and Democrats were not always so negative on the economy during a Trump presidency. Now, despite political differences, consumers unanimously believe that the outlook for the economy has diminished.

	Sep 2025	Oct 2025	Nov 2025	Dec 2025	Jan 2026	Feb 2026	Mar 2026	Apr 2026	May 2026	Jun 2026	Jul 2026	Aug 2026	Sep 2026
Index of Consumer Sentiment	55.1	53.6	51.0	52.9	56.4	56.6	53.3	49.8	44.8	49.5	55.2	51.7	48.1
Current Economic Conditions	60.4	58.6	51.1	50.4	55.4	56.6	55.8	52.5	45.8	47.7	54.8	51.9	50.9
Index of Consumer Expectations	51.7	50.3	51.0	54.6	57.0	56.6	51.7	48.1	44.1	50.7	55.4	51.5	46.3
Index Components													
Personal Finances - Current	76	78	66	68	74	77	74	67	58	63	70	67	61
Personal Finances - Expected	86	82	85	93	95	93	84	80	73	84	88	86	77
Economic Outlook - 12 Months	57	57	56	59	63	65	56	48	45	51	61	55	42
Economic Outlook - 5 Years	62	59	61	64	68	66	64	61	56	65	71	62	63
Buying Conditions - Durables	78	72	64	60	67	67	68	66	58	58	69	65	68

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